

**SUBSTITUTE FOR
SENATE BILL NO. 729**

A bill to amend 1964 PA 183, entitled

"An act creating the state building authority with power to acquire, construct, furnish, equip, own, improve, enlarge, operate, mortgage, and maintain facilities for the use of the state or any of its agencies; to act as a developer or co-owner of facilities as a condominium project for the use of the state or any of its agencies; to authorize the execution of leases pertaining to those facilities by the building authority with the state or any of its agencies; to authorize the payment of true rentals by the state; to provide for the issuance of revenue obligations by the building authority to be paid from the true rentals to be paid by the state and other resources and security provided for and pledged by the building authority; to authorize the creation of funds; to authorize the conveyance of lands by the state or any of its agencies for the purposes authorized in this act; to authorize the appointment of a trustee for bondholders; to permit remedies for the benefit of parties in interest; to provide for other powers and duties of the authority; and to provide for other matters in relation to the authority and its obligations,"



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by amending section 8 (MCL 830.418), as amended by 2024 PA 228.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 8. (1) By 1 or more resolutions of its board, the
2 building authority may provide for the issuance of revenue
3 obligations, including revenue bonds, revenue notes, or other
4 evidences of revenue indebtedness, and refunding revenue bonds or
5 notes, or other refunding evidences of indebtedness.

6 (2) The obligations issued under this act are not a general
7 obligation of this state or a charge against this state. All
8 revenue obligations and the interest on the revenue obligations and
9 the call premiums for the revenue obligations are payable solely
10 from true rental, except to the extent paid from the proceeds of
11 sale of revenue obligations and any additional security provided
12 for and pledged, or from other funds as provided in this act. Each
13 revenue obligation must have a statement that contains the
14 provisions of this subsection printed on the face of the revenue
15 obligation. If the resolution of the building authority provides
16 for interest coupons to be attached to a revenue obligation, each
17 interest coupon must have a statement printed on the coupon that
18 the coupon is not a general obligation of this state or the
19 building authority but is payable solely from certain revenues as
20 specified in the revenue obligation.

21 (3) Revenue obligations may be issued for any of the following
22 purposes:

23 (a) To pay part or all of the costs of the facilities,
24 including all of the following costs:

25 (i) An allowance for legal, engineering, architectural, and
26 consulting services.

27 (ii) Interest on revenue obligations becoming due before the



1 collection of the first true rental available for the payment of
2 those revenue obligations.

3 (iii) A reserve for the payment of principal, interest, and
4 redemption premiums on the revenue obligations of the authority.

5 (iv) Other necessary incidental expenses, including, but not
6 limited to, all of the following expenses:

7 (A) Placement fees.

8 (B) Fees or charges for insurance, letters of credit, lines of
9 credit, remarketing agreements, or commitments to purchase
10 obligations issued under this act.

11 (C) Fees or charges associated with an agreement to manage
12 payment, revenue, or interest rate exposure.

13 (D) Any other fees or charges for any other security provided
14 to assure timely payment of the obligations.

15 (b) To refund or advance refund, in whole or in part,
16 outstanding revenue obligations issued pursuant to this act whether
17 the obligations to be refunded or advance refunded have matured or
18 are redeemable or will mature or become redeemable after being
19 refunded.

20 (4) The proceeds of a revenue obligation issue may be used to
21 pay the cost of facilities that are subject to more than 1 lease if
22 either subdivision (a) or (b) is true:

23 (a) Both of the following are true:

24 (i) The resolution or resolutions authorizing the revenue
25 obligations provide for the use of a specific allocable portion of
26 the revenue obligation proceeds to pay the estimated cost of each
27 of the facilities, together with the allocable portion of the
28 reserves, discount, interest on the obligations becoming due before
29 the first true rental available for payment of the obligations, and



1 obligation issuance expense with respect to each facility.

2 (ii) The true rental and other funds of the building authority
3 and other security as provided in this act available for the
4 revenue obligations, including other funds as provided in this act,
5 are sufficient to pay the allocable portion of the revenue
6 obligation issue for which the true rental and other funds and
7 security are pledged.

8 (b) The obligation is part of an interim financing pool
9 described in subsection (27).

10 (5) Revenue obligations that refund outstanding obligations
11 may include the payment of interest accrued, or to accrue, to the
12 earliest or any subsequent date of redemption, purchase, or
13 maturity of the revenue obligations to be refunded, redemption
14 premium, if any, and any commission, service fee, and other expense
15 necessary to be paid in connection with revenue obligations that
16 refund outstanding obligations. Proceeds of refunding revenue
17 obligations may also be used to pay for all of the following costs:

18 (a) Part of the cost of issuance of the refunding revenue
19 obligations.

20 (b) Interest on the refunding revenue obligations.

21 (c) A reserve for the payment of principal, interest, and
22 redemption premiums on the refunding revenue obligations.

23 (d) Other necessary incidental expenses, including, but not
24 limited to, all of the following expenses:

25 (i) Placement fees.

26 (ii) Fees or charges for insurance, letters of credit, lines of
27 credit, remarketing agreements, or commitments to purchase
28 obligations issued pursuant to this act.

29 (iii) Fees or charges associated with an agreement to manage



1 payment, revenue, or interest rate exposure.

2 (iv) Any other fees or charges for any other security provided
3 to assure timely payment of the obligations.

4 (6) The building authority may also provide for the withdrawal
5 of any funds from a reserve created for the payment of principal,
6 interest, and redemption premiums on the refunded obligations and
7 for the deposit of those funds in the reserve for the payment of
8 principal, interest, and redemption premiums on the refunding
9 obligations or may provide for use of that reserve money to pay
10 principal, interest, and redemption premiums on the obligations to
11 be refunded.

12 (7) Obligations issued to refund outstanding obligations may
13 be issued in a principal amount greater than, the same as, or less
14 than the principal amount of the obligations to be refunded, and
15 subject to the maximum rate of interest provided in subsection
16 (13), may bear interest rates that are higher than, the same as, or
17 lower than the interest rates of the obligations to be refunded.

18 (8) If obligations are issued to refund outstanding
19 obligations of the authority, a lease whose rental has been pledged
20 for repayment of the obligations to be refunded is not terminated
21 solely by reason of the payment or provision for payment of the
22 obligations to be refunded, and the lease and all of the rights and
23 obligations under the lease remain in full force and effect in
24 accordance with its terms.

25 (9) Except as otherwise provided in this section, the building
26 authority shall use income or profit derived from the investment of
27 money in a fund or account of the building authority, including the
28 proceeds of sale of the revenue obligations, only for the purpose
29 of paying principal, interest, and redemption premiums on the



1 revenue obligations of the building authority, or for any purpose
2 for which the proceeds of the revenue obligations may be used under
3 this act, as determined by the resolution or resolutions of the
4 board authorizing the issuance of revenue obligations.

5 (10) Within limits considered appropriate and established by
6 the board, the board may authorize by resolution a member of the
7 board or the person appointed by the building authority as its
8 chief operating officer or chief staff person, if the authorization
9 limits or prescribes the maximum interest rates, minimum price,
10 maximum principal amount, and the latest maturity date of the
11 obligations, to do any of the following:

12 (a) Determine interest rates or methods for determining
13 interest rates for, maturities of, principal amounts of,
14 denominations of, dates of issuance of, interest payment dates for,
15 redemption rights and the terms under which redemption rights may
16 be waived, transferred, or sold, prepayment rights with respect to,
17 the purchase price of, and the type of funds for settlement of
18 obligations.

19 (b) Determine which, if any, letter of credit, line of credit,
20 standby note or bond purchase agreement, bond insurance, or other
21 agreement providing security or liquidity for obligations of the
22 building authority, approved by the board, provides a cost savings
23 and should be entered into in connection with the issuance of the
24 obligations of the building authority.

25 (c) Take any other action on behalf of the board within
26 limitations established by the board as the board considers
27 necessary in connection with the issuance of obligations of the
28 building authority.

29 (11) To the extent provided by resolution of the board,



principal of, and interest and redemption premiums on, revenue obligations issued for the purpose of paying all or part of the cost of the facilities must be secured by and payable only from 1 or more of the following sources:

(a) The true rental derived from the facilities constructed or acquired with the proceeds of the revenue obligations.

(b) The proceeds of revenue obligations.

(c) The reserve, if any, established for the payment of principal of, or interest or redemption premiums on, the obligations.

(d) The proceeds of insurance, a letter of credit, or a line of credit acquired as security for the revenue obligations.

(e) The proceeds of obligations issued to refund the revenue obligations.

(f) The proceeds of the foreclosure or enforcement of a mortgage, security interest, or deed of trust on the facilities financed by the revenue obligations granted by the authority as security for the revenue obligations.

(g) Other funds of the authority not previously pledged for other obligations of the authority, including funds of the authority derived from rentals and other revenues, investment income or profit, or funds or accounts relating to other facilities, and payments received pursuant to an agreement to manage payment, revenue, or interest rate exposure as provided in subsection (26).

(h) Investment earnings and profits on any or all of the sources described in subdivisions (a) to (g).

(12) To the extent provided by resolution of the board, principal of, and interest and redemption premiums on, refunding



1 revenue obligations must be secured by and payable only from 1 or
2 more of the following sources:

3 (a) The true rental derived from the facilities constructed or
4 acquired with the proceeds of the obligations being refunded.

5 (b) The proceeds of the refunding obligations.

6 (c) The reserve, if any, established for the payment of the
7 principal of, or interest and redemption premiums on, the refunding
8 obligations or the obligations to be refunded.

9 (d) The proceeds of insurance, a letter of credit, or a line
10 of credit acquired as security for the revenue obligations.

11 (e) The proceeds of obligations issued to refund the refunding
12 obligations.

13 (f) The proceeds of the foreclosure or enforcement of any
14 mortgage, security interest, or deed of trust on the facilities
15 financed from the proceeds of the obligations being refunded,
16 granted by the authority as security for the refunding obligations.

17 (g) Other funds of the authority not previously pledged for
18 other obligations of the authority, including other funds of the
19 authority derived from rentals and other revenues, investment
20 income or profit, or funds or accounts relating to other
21 facilities, and payments received pursuant to an agreement to
22 manage payment, revenue, or interest rate exposure as provided in
23 subsection (26).

24 (h) Investment earnings or profits on any of the sources
25 described in subdivisions (a) to (g).

26 (13) Obligations issued under this act may be either serial
27 obligations or term obligations, or any combination of serial or
28 term obligations. The obligations must mature not more than 40
29 years from their date, and in any event not more than 1 year from



1 the due date of the last true rental pledged for the payment of the
2 obligations. The obligations may bear interest at fixed or variable
3 interest rates, or may be without stated interest, but the net
4 interest rate or rates of interest, taking into account any
5 discount on the sale of the obligations, must not exceed a rate
6 permitted by the revised municipal finance act, 2001 PA 34, MCL
7 141.2101 to 141.2821. The obligations may be sold at a discount.

8 (14) Except as otherwise provided in subsection (15), in the
9 resolution or resolutions authorizing the issuance of the
10 obligations, the board shall determine all of the following:

11 (a) The principal amount of the obligations to be issued.

12 (b) The registration provisions.

13 (c) The date of issuance.

14 (d) The obligation numbers.

15 (e) The obligation denominations.

16 (f) The obligation designations.

17 (g) The obligation maturities.

18 (h) The interest payment dates.

19 (i) The paying agent or paying agents or the method of
20 selection of the agent or agents.

21 (j) The rights of prior redemption of the obligations, and the
22 terms under which redemption rights may be waived, transferred, or
23 sold.

24 (k) The rights of the holders to require prepayment of the
25 principal of or interest on the obligations.

26 (l) The maximum rate of interest.

27 (m) The method of execution of the obligations, and other
28 provisions respecting the obligations, the rights of the holders of
29 the obligations, the security for the obligations, and the



1 procedures for disbursement of the obligation proceeds and for the
2 investment of the proceeds of obligations and money for the payment
3 of obligations.

4 (15) Rather than making the determinations required by
5 subsection (14), the board may authorize a person identified in
6 subsection (10) to make the determinations and take the actions
7 authorized under subsection (10).

8 (16) The board in the resolution or resolutions authorizing
9 the issuance of obligations may provide for the assignment of the
10 true rental to be paid by this state under the lease or leases to 1
11 of the paying agents for the obligations or to a trustee, as
12 provided in this act, in which case this state shall pay the rental
13 to the paying agent or trustee. For the purposes and within the
14 limitations of this act, the board may by resolution covenant to
15 issue or cause to be issued, or use its best efforts to issue or
16 cause to be issued, refunding revenue obligations to refund
17 obligations issued under this act.

18 (17) The board in the resolution, or resolutions, authorizing
19 the obligations may provide for all of the following:

20 (a) The terms and conditions on which the holders of the
21 obligations, or a portion of the obligations, or a trustee for the
22 obligations, is entitled to the appointment of a receiver. The
23 receiver may do all of the following in the same manner and to the
24 same extent that the authority is so authorized:

25 (i) Enter and take possession of the facility.

26 (ii) Lease and maintain the facility.

27 (iii) Prescribe rentals.

28 (iv) Collect, receive, and apply income and revenues arising
29 after the receiver's appointment from the facility.



1 (b) The appointment of a trustee for the holders of the
2 obligations. The board may give the trustee the appropriate rights,
3 duties, remedies, and powers, with or without the execution of a
4 deed of trust or mortgage, necessary and appropriate to secure the
5 obligations. The board may also provide in the resolution or
6 resolutions authorizing the obligations that the principal of and
7 interest on any obligations issued under this act will be secured
8 by a mortgage, security interest, or deed of trust covering the
9 facility, which mortgage, security interest, or deed of trust may
10 contain covenants, agreements, and remedies to properly safeguard
11 the obligations, including the right to sell the facility on
12 foreclosure sale, if not inconsistent with this act.

13 (18) All obligations and the interest coupons, if any,
14 attached to the obligations are fully negotiable and have all of
15 the qualities incident to negotiable instruments under the uniform
16 commercial code, 1962 PA 174, MCL 440.1101 to 440.9994, subject
17 only to the provisions for registration of the obligations that
18 appear on the obligations. The obligations and interest on the
19 obligations are exempt from all taxation by this state or any of
20 its political subdivisions.

21 (19) The obligations may be sold at private or public sale
22 under the procedures and subject to the conditions prescribed by
23 resolution of the board.

24 (20) The building authority may issue additional obligations
25 of equal standing with respect to the pledge of the true rentals
26 and additional security provided pursuant to this act with
27 previously issued obligations of the building authority issued to
28 acquire or construct a facility or facilities, or to refund the
29 obligations, for the purpose of completing, or making additions,



1 improvements, or replacements to, the facility or facilities for
 2 which the previous obligations of the authority were issued or to
 3 refund all or part of obligations previously issued for the
 4 facility or facilities, under the terms and conditions provided in
 5 the resolution or resolutions authorizing the previous issue of
 6 obligations.

7 (21) The authority shall not have obligations outstanding at
 8 any 1 time for any of its corporate purposes in a principal amount
 9 totaling more than \$2,700,000,000.00, which limitation does not
 10 include principal appreciation as provided in subsection (24) or
 11 obligations or portions of obligations used to pay for any of the
 12 following:

13 (a) Amounts set aside for payment of interest becoming due
 14 before the collection of the first true rental available.

15 (b) Amounts set aside for a reserve for payment of principal,
 16 interest, and redemption premiums.

17 (c) Costs of issuance of the obligations and the discount, if
 18 any, on sale.

19 (d) The sums expected to be set aside for the purposes
 20 provided in this subsection for any obligations authorized by the
 21 authority but not sold. The amount set aside or expected to be set
 22 aside for the purposes provided in this subsection must be
 23 conclusively determined by a certificate setting forth the amounts
 24 executed by the executive director of the building authority. In
 25 addition, obligations issued to refund prior obligations are
 26 excluded from the limitation if those prior obligations will not be
 27 retired within 90 days after the date of issuance of the refunding
 28 obligations. ~~If~~ **Except as otherwise provided under subdivision (e),**
 29 **if** an obligation is issued to retire a prior obligation within 90



1 days after the date of issuance of the refunding obligation, the
2 obligation is counted against the limitation when the refunded
3 obligation is retired.

4 **(e) \$421,300,000.00 of advance refunding that was part of the**
5 **2025 revenue and refunding bonds, series I, issued by the state**
6 **building authority in June 2025.**

7 (22) The authority may apply and pledge, if not already
8 pledged, all or any unpledged part of the true rental and other
9 revenues of a facility, income and profit from the investment of
10 money pertaining to a facility, and money in a fund or account of
11 the authority pertaining to a facility to pay any of the following:

12 (a) The principal, interest, and redemption premiums on
13 revenue obligations of the authority other than those to which the
14 true rental and other revenues, investment income, or profit or
15 funds or accounts pertain.

16 (b) Amounts due under an agreement to manage payment, revenue,
17 or interest rate exposure regardless of the obligations or
18 investments to which the agreement relates.

19 (c) Part or all of the cost of additional facilities to be
20 acquired by the authority for the use of the state.

21 (23) The authority may establish a separate fund into which
22 the rental and other revenues, investment income or profit, or
23 money of the fund or account will be deposited to be used to pay
24 principal, interest, and redemption premiums on outstanding
25 obligations of the authority or to acquire facilities for the use
26 of this state. The authority shall not acquire a facility unless
27 the acquisition is approved by the state administrative board and
28 in an appropriations act. The authority may pledge any or all of
29 the true rental and other revenues, investment income or profit, or



1 money in funds or accounts to the payment of revenue obligations of
2 the authority other than those to which they pertain. If the true
3 rental and other revenues, investment income or profit, or the
4 money in funds or accounts to be applied as specified in this
5 subsection pertain to a facility leased to this state and an
6 institution of higher education pursuant to a lease executed and
7 delivered before January 1, 1983, an application or pledge of those
8 items may not be made unless approved by the institution of higher
9 education.

10 (24) If the authority issues an obligation that appreciates in
11 principal amount, the amount of principal appreciation each year on
12 that obligation, after the date of original issuance, is not
13 considered to be principal indebtedness for the purposes of the
14 limitation in subsection (21) or any other limitation. The
15 appreciation of principal after the date of original issue is
16 considered interest and must be within the interest rate
17 limitations set forth in this act.

18 (25) Of the \$2,700,000,000.00 authorized under subsection
19 (21), the joint capital outlay committee shall determine priority.

20 (26) In connection with an obligation issued previously or to
21 be issued under this act or an investment made previously or to be
22 made, the board may by resolution authorize and approve the
23 execution and delivery of an agreement to manage payment, revenue,
24 or interest rate exposure. The agreement may include, but is not
25 limited to, an interest rate exchange agreement, an agreement
26 providing for payment or receipt of money based on levels of or
27 changes in interest rates, an agreement to exchange cash flows or
28 series of payments, or an agreement providing for or incorporating
29 interest rate caps, collars, floors, or locks. Subject to a prior



pledge or lien created under this act, a payment to be made by the building authority under an agreement described in this subsection is payable, together with other obligations of the building authority, from those sources described in subsections (11) and (12), all with the parity or priority and on the conditions set forth in the board's resolution. An agreement entered into under this subsection is not a general obligation of this state or the building authority, and the agreement does not count against the limitation on outstanding obligations contained in subsection (21).

(27) The building authority may authorize by resolution a pool of obligations to meet interim financing needs. A pool may be issued in 1 or more series, may relate to 1 or more projects, and is subject to all of the following:

(a) The board's resolution approving the pool must state at least all of the following:

(i) The name or designation of the pool to distinguish it from any other pool issued under this subsection.

(ii) The latest date by which an obligation issued under the pool must mature, and projects placed in the pool remain in the pool for a duration permitted under tax rules and laws. The duration of the pool is the time from the date on which the pool is established to the latest possible maturity date of obligations issued pursuant to the pool, or sooner as provided by resolution.

(iii) The maximum par amount of obligations that may be outstanding at any time during the duration of the pool. The resolution may state the maximum par amount of obligations that may be issued pursuant to the pool.

(iv) Other terms of the obligations as provided in subsection (13) or the limits within which the chief operating officer, chief



1 staff person, or member of the board shall determine those terms as
2 provided in subsection (10).

3 (v) The security for obligations issued pursuant to the pool.

4 (vi) Other provisions, not inconsistent with the terms of this
5 act, that the board determines to be necessary or appropriate to
6 the pool.

7 (b) Proceeds of obligations issued as part of a pool
8 established under this subsection may be used for any of the
9 purposes for which revenue obligations of the building authority
10 may be used as described in subsection (3). However, an obligation
11 must not be issued with respect to a facility unless all of the
12 following are true:

13 (i) The board approves the financing of the facility pursuant
14 to the pool, which approval may be made at the same time as or
15 after the establishment of the pool.

16 (ii) The board approves the proposed form of lease for the
17 facility, which approval may be made before, at the same time as,
18 or after the establishment of the pool.

19 (iii) The state administrative board, an institution of higher
20 education, if applicable, and the legislature have approved the
21 form of the lease as required by section 7, which approval may be
22 made before, at the same time as, or after the establishment of the
23 pool.

24 (iv) The aggregate amounts of obligations issued and
25 outstanding with respect to a facility under a pool, together with
26 other obligations that may have been issued and are outstanding
27 with respect to the facility under this act do not exceed the cost
28 of the facility, including allowable interest costs, as approved by
29 the state administrative board, an institution of higher education,



1 if applicable, and the legislature.

2 (v) On or before the issuance of obligations the proceeds of
3 which are to finance the acquisition, construction, renovation, or
4 rehabilitation of the facility, the building authority and this
5 state, and, if applicable, an institution of higher education,
6 enter into the lease or an agreement to construct or acquire the
7 facility, which lease or agreement sets forth the terms and
8 conditions under which the building authority will finance the
9 construction or acquisition of the facility for lease to this state
10 or to the state and any applicable institution of higher education.

11 (28) Bonds and notes issued under this act are not subject to
12 the revised municipal finance act, 2001 PA 34, MCL 141.2101 to
13 141.2821.

14 (29) The issuance of bonds and notes under this act is subject
15 to the agency financing reporting act, 2002 PA 470, MCL 129.171 to
16 129.177.